connect

1. Award: 0.62 points

The accounting processing cycle:

- provides an independent review to ensure management has appropriately applied generally accepted accounting principles in preparing financial statements.
- → is the process used to identify, analyze, record, and summarize transactions and prepare financial statements.
- is the process of transferring revenue and expense balances to retained earnings.
- is the process of bringing the company's financial information up to date before preparing the financial statements.

The audit process "provides an independent review to ensure management has appropriately applied generally accepted accounting principles in preparing financial statements."; The closing process is "the process of transferring revenue and expense balances to retained earnings."; and Adjusting entries is "the process of bringing the company's financial information up to date before preparing the financial statements.

References

Multiple Choice	Learning Objective: 02-02 Describe the steps in the accounting processing cycle.

2. Award: **0.62 points**

A collection of all of the company's various accounts and their balances is:

- a journal.
- → a ledger.
- a locker.
- a financial statement.

A ledger is a collection of storage areas, called accounts, used to keep track of increases and decreases in financial position elements.

References

Multiple Choice	Learning Objective: 02-01 Understand routine economic events-transactions- and determine their effects on a companys financial position and on specific accounts.

3. Award: **0.62 points**

In the double-entry system, debit means:

- increase.
- decrease.
- → left.
- right.

A debit refers to the left side of a ledger account.

References

Multiple Choice	Learning Objective: 02-01 Understand routine economic events-transactions- and determine their effects on a companys financial position and on specific accounts.

4. Award: **0.62 points**

A chronological record of all economic events affecting a firm is provided by a:

- → a journal.
- a financial statement.
- a ledger.
- the closing process.

A journal is a chronological record of all economic events affecting a firm.

References

Multiple Choice	Learning Objective: 02-02 Describe the steps in the accounting processing cycle.

5. Award: **0.62 points**

A list of the general ledger accounts and their balances at a particular date, showing total debits equal total credits, is a:

- Journal.
- Ledger.
- Financial statement.
- → Trial balance.

A list of the general ledger accounts and their balances at a particular date is a trial balance.

References

Multiple Choice	Learning Objective: 02-02 Describe the steps in the accounting processing cycle.

6. Award: **0.62 points**

The reason we post journal entries is to

- provide a chronological record of all economic events affecting the firm.
- ensure that all accounts are up to date prior to preparing financial statements.
- ensure that debits equal credits in the trial balance.
- → reflect the information in journal entries in ledger accounts.

Posting is the process of transferring debits and credits recorded in individual journal entries to the specific accounts affected.

References

Multiple Choice	Learning Objective: 02-03 Analyze and record transactions using journal entries.

7. Award: **0.62 points**

We can state the accounting equation for a corporation as:

- A + L= SE.
- A = L − SE.
- → A − L = SE.
- −A + L − SE = 0.

The accounting equation is commonly shown as Assets (A) = Liabilities (L) + Shareholders' Equity (SE). If we subtract L from both sides, we get A − L = SE.

References

Multiple Choice	Learning Objective: 02-02 Describe the steps in the accounting processing cycle.

8. Award: **0.62 points**

Which of the following is most likely an accrued liability?

- Depreciation
- → Interest on borrowing
- Cost of goods sold
- Office supplies

An accrued liability arises when all or part of an expense is recognized before the associated cash disbursement.

References

Multiple Choice	Learning Objective: 02-05 Identify and describe the different types of adjusting journal entries.

9. Award: 0.62 points

A prepaid expense:

- occurs when an expense is recorded in the current period but not paid until a future period.
- occurs when a company receives cash from customers prior to providing goods and services to those customers.
- → occurs when an asset is acquired in the current period but not expensed until a future period.
- All of these answer choices are incorrect.

References

Multiple Choice	Learning Objective: 02-05 Identify and describe the different types of adjusting journal entries.

10.

Award: **0.62 points**

Which of the following adjusting entries causes a decrease in assets?

- Recognizing the portion of revenue collected in advance
- → Recording depreciation expense
- Accruing unrecorded salaries expense
- Accruing unrecorded interest revenue

The adjusting entry for depreciation includes a debit to depreciation expense and a credit to accumulated depreciation (a contra-asset account, which reduces the associated asset balance).

References

Multiple Choice	Learning Objective: 02-06 Record adjusting journal entries in general journal format, post entries, and prepare an adjusted trial balance.

11.

Award: **0.62 points**

Which of the following adjusting entries causes an increase in liabilities?

- Recording the amount of expired prepaid insurance
- → Accruing interest expense
- Recording depreciation expense
- Accruing interest revenue

The adjusting entry for unrecorded interest includes a debit to interest expense and a credit to interest payable (a liability).

References

Multiple Choice	Learning Objective: 02-06 Record adjusting journal entries in general journal format, post entries, and prepare an adjusted trial balance.

12. Award: 0.62 points

If the required adjusting entry for prepaid rent that has expired for the period is omitted:

- assets will be understated and net income will be overstated.
- → assets will be overstated and net income will be overstated.
- assets will be overstated and net income will be understated.
- assets will be understated and net income will be understated.

The adjusting entry for prepaid rent that has expired includes a debit to rent expense and a credit to prepaid rent. By not recording the expense, net income will be overstated. By not recording the decrease to prepaid rent, the asset will be overstated.

References

Multiple Choice	Learning Objective: 02-06 Record adjusting journal entries in general journal format, post entries, and prepare an adjusted trial balance.

13. Award: **0.62 points**

The *deferred revenue* account is a(n):

- expense account.
- asset account.
- → liability account.
- revenue account.

Deferred revenue represents cash received in advance from customers. The company has an obligation to provide these customers goods and services in the future.

References

Multiple Choice	Learning Objective: 02-05 Identify and describe the different types of adjusting journal entries.

14. Award: 0.62 points

The financial statement which reports investments from owners and distributions to owners during a particular period is:

- → statement of shareholders' equity.
- statement of comprehensive income.
- balance sheet.
- income statement.

The income statement reports revenues minus expenses for the period. The balance sheet reports assets, liabilities, and total shareholders' equity at a point in time. The statement of comprehensive income extends the income statement by reporting all income from nonowner transactions for the period.

References

Multiple Choice	Learning Objective: 02-07 Describe the four basic financial statements.

15.

Award: **0.62 points**

The closing process involves:

- Recording year-end adjusting entries.
- → Transferring revenue and expense balances to retained earnings.
- Closing out the permanent account balances.
- All of these answer choices are incorrect.

Revenues, expenses, and other temporary equity accounts are closed, reduced to $0, with their balances being transferred to retained earnings.

References

Multiple Choice	Learning Objective: 02-08 Explain the closing process.

16. Award: **0.70 points**

The closing entry for revenues involves:

- a debit to retained earnings and a credit to revenues.
- a debit to common stock and a credit to revenues.
- a debit to revenues and a credit to common stock.
- → a debit to revenues and a credit to retained earnings.

Revenues are closed to retained earnings. Revenues have a credit balance, so their balances are reduced to zero with a debit equal to their current balance. The offsetting credit is to retained earnings, increasing the balance of the account by the amount of total revenues.

References

Multiple Choice	Learning Objective: 02-08 Explain the closing process.